

coin toss, wherein a win would add \$9 and a loss would subtract \$9 from the initial \$30 endowment. Seventy percent of the people offered this choice elected to gamble, because they considered the \$30 to be “found” money—a little fortuitous windfall, not the sum of pennies meticulously saved and not the wages of hours spent slaving at some arduous task. So, why not have a little fun with this money? After all, what did these subjects really stand to lose?

A second group of people confronted a slightly different choice. Outright, they were asked: Would you rather gamble on a coin toss, in which you will receive \$39 for a win and \$21 for a loss? Or, would you rather simply pocket \$30 and forgo the coin toss? The key distinction is that these people were not awarded \$30, seemingly out of the blue, in the initial phase, as was the first group. Rather, at the outset of the exercise, the options were presented in terms of their ultimate payoffs. As you might expect, the second group reacted differently from the first. Only 34 percent of them chose to gamble, even though the economic prospects they faced were identical to those offered to group one. Sometimes people create mental accounts in order to justify actions that seem enticing but that are, in fact, unwise. Other times, people derive benefits from mental accounting; for example, earmarking money for retirement may prevent some households from spending that money prematurely. Such concepts will be explored at greater length later in this chapter.

Technical Description

Mental accounting refers to the coding, categorization, and evaluation of financial decisions. There are numerous interpretations of mental accounting, two of which will be reviewed here.

The first interpretation stems from Shefrin and Thaler’s behavioral life-cycle theory, reviewed in the previous chapter, and submits that people mentally allocate wealth over three classifications: (1) current income, (2) current assets, and (3) future income. The propensity to consume is greatest from the current income account, while sums designated as future income are treated more conservatively.

Another interpretation of mental accounting describes how distinct financial decisions may be evaluated jointly (i.e., as though they pertain to the same mental account) or separately. For example, Kahneman and Tversky³ conducted a study in which a majority of subjects declined to pay for a new theater ticket, which they were told would replace an identically priced ticket previously bought and lost. However, when the premise was altered and the subjects were told to imagine that they had not mislaid a previous ticket but, rather, an equivalent sum of cash—and so were contemplating